

EXECUTIVE SUMMARY

Customer Churn Analysis

1. Background

I wanted to figure out why customers were leaving (churning) and if there were any clear patterns behind it, so the business could actually do something about it instead of just guessing.

2. Key Findings

About 10.6% of customers in this dataset churned. When I dug deeper, a couple of things stood out:

- Customers on month-to-month contracts left way more often (20.6%) compared to customers on one-year (4.3%) or two-year (6.9%) plans
- Customers who churned had only been around for about 6 months on average, while customers who stayed had been around for 40 months. I ran a statistical test to check if this was just random, and it wasn't — the difference was significant
- Customers paying more per month also seemed a bit more likely to churn, though this wasn't as strong a pattern

3. Business Implications

New customers are clearly the highest risk group, especially in their first few months. Getting more people onto longer contracts instead of month-to-month could also help a lot.

4. Recommendations

1. Focus on new customers early on — better onboarding, check-ins in the first 6-12 months

2. Push annual contracts more, maybe with some kind of discount or incentive
3. Keep an eye on high-paying customers so they don't feel neglected
4. Run retention campaigns aimed specifically at new, month-to-month customers